

ONTARIO LABOUR RELATIONS BOARD

0878-09-G The Brick and Allied Craft Union of Canada Local 2, Applicant v. **Limen Masonry Limited**, Limen Group Ltd., Limen Masonry (2003) Inc. and Limen Enterprises (2003) Inc., Responding Parties, v. Masonry Industry Employers' Council of Ontario, Intervenor v. Bricklayers and Stonemasons Union Local 2 (Ontario) Employee Benefit Trust & Pension Benefit Trust, Intervenor.

2601-10-G Ontario Provincial Conference of the International Union of Bricklayers and Allied Craftworkers, Applicant v. **Limen Masonry Ltd.**, Responding Party, v. Masonry Industry Employers' Council of Ontario, Intervenor.

BEFORE: Lee Shouldice, Vice-Chair.

APPEARANCES: James Robbins, Ryan White, Lionel Scriver and Kerry Wilson for the applicants; Dan J. Shields, A. Lima and N. Puype for the responding parties; David Bannon for Masonry Industry Employers' Council of Ontario; Mike McCreary for Bricklayers and Stonemasons Union Local 2 (Ontario) Employee Benefit Trust & Pension Benefit Trust.

DECISION OF THE BOARD: February 10, 2011

1. These proceedings are construction industry grievances that have been referred to the Board for arbitration pursuant to section 133 of the *Labour Relations Act, 1995*, S.O. 1995, c.1, as amended (the "Act"). When these proceedings came on for hearing the parties argued a preliminary motion brought by the responding party Limen Masonry Limited, Limen Group Ltd., Limen Masonry (2003) Inc., and Limen Enterprises (2003) Inc. (hereinafter collectively referred to as "Limen") relating to Board File No. 0878-09-G.

Background

2. Some background facts are necessary to establish the context within which the preliminary motion was argued.

3. Board File 0878-09-G is a grievance referral that was filed with the Board by The Brick and Allied Craft Union of Canada Local 2 ("Local 2") on June 23, 2009. The underlying grievance is dated April 20, 2009. That grievance was scheduled for hearing on July 7, 2009 before a differently constituted panel of the Board. At the hearing on July 7, 2009, Limen was not represented by legal counsel. At that time Local 2 sought a production order from the Board. There was a dispute between Local 2 and Limen regarding the appropriate scope of documentary production. By way of decision dated July 13, 2009, the Board resolved that dispute and issued a production order to be complied with by Limen.

4. It appears from the materials in Board File 0878-09-G that Limen provided certain documents to counsel for Local 2 on or about August 6, 2009. Local 2 was of the view that Limen had not produced documents in accordance with the Board decision dated July 13, 2009.

Accordingly, on January 25, 2010, counsel for Local 2 filed the Board's order dated July 13, 2009 with the Superior Court of Justice. Counsel for Local 2 subsequently advised Limen that his client had filed the Board order with the civil courts and would seek the assistance of the court to enforce the decision if necessary. Shortly after that, Limen retained its current legal counsel.

5. A further hearing was scheduled in Board File No. 0878-09-G for October 4, 2010. At that time, counsel for Local 2 provided to counsel for Limen (and filed with the Board) a binder containing a document titled "Union Brief of Damages" (the "brief of damages"). The brief of damages is supported by three large binders of documents. As counsel for Limen had not been provided with a copy of the brief of damages or the supporting documents prior to the hearing, an adjournment was sought and granted by the Board. The parties agreed that a further date of hearing would be scheduled for November 8, 2010.

6. On November 8, 2010, Local 2 and Limen re-attended at the Board. On that date, they (along with the Masonry Industry Employers' Council of Ontario ("MIECO") and the Ontario Provincial Conference of the International Union of Bricklayers and Allied Craftworkers (the "OPC"), who were also in attendance) entered into a Memorandum of Agreement in which it was agreed, amongst other things, that Local 2 and/or the OPC would refer to the Board a grievance relating to damages claimed outside of the jurisdiction of Local 2 no later than November 9, 2010. It was agreed that the timelines for doing so would be waived, and that both that grievance and Board File No. 0878-09-G would be heard together. The OPC subsequently filed a grievance referral with the Board on November 9, 2010. That grievance referral was given Board File No. 2601-10-G. In accordance with the agreement of the parties, Board Files No. 0878-09-G and 2601-10-G came on together for hearing on January 18, 2011.

7. At the outset of the hearing on January 18, 2011, counsel for Limen identified two particular issues arising in Board File No. 0878-09-G that he characterized as preliminary in nature. He submitted that both ought to be dealt with prior to the commencement of the hearing of evidence. Counsel for Local 2 and the OPC disagreed with that characterization. He was of the view that the evidence ought to commence immediately, and that the issues said to be preliminary ought to be resolved as they arose during evidence or during argument. Counsel for MIECO made no submissions on this issue. Counsel for the Bricklayers and Stonemasons Union Local 2 (Ontario) Employee Benefit Trust & Pension Benefit Trust ("the Trusts") argued that the Board should do whatever was necessary to ensure that these proceedings commenced sooner rather than later.

8. As a result of information that was provided to counsel for Local 2 and the OPC during the course of a brief break in the hearing (and subsequently communicated by counsel for Local 2 and the OPC to the other parties and the Board at the resumption of the hearing), one of the two issues asserted by counsel for Limen to be preliminary in nature could no longer be fairly characterized as such. Although the underlying dispute was not resolved by the information communicated by counsel for Local 2 and the OPC, it was agreed that the issue in question no longer ought to be disposed of as a preliminary matter. At that time I indicated to counsel that I was of the view that the remaining issue of the two initially raised by counsel for Limen was properly characterized as preliminary in nature, and ought to be resolved before evidence was called. At that point I entertained the argument of the parties on the issue.

The Preliminary Issue

9. The issue in question is the proper scope of the grievance in Board File No. 0878-09-G. Limen asserts that the brief of damages prepared by Local 2 and provided to it on October 4,

2010 is in reality an improper expansion of the grievance filed by the union on April 20, 2009. It states that the brief of damages actually asserts a claim for relief with respect to different breaches of the collective agreement that were not part of the earlier grievance, and that the claims reflected by the brief of damages are properly characterized as a separate grievance. Counsel for Local 2 disagrees. He asserts that the brief of damages does nothing more than quantify the claims made in the grievance dated April 20, 2009.

10. I turn to the grievance in question. The grievance is addressed to Limen and is dated April 20, 2009. The reference line on the grievance reads "Violation of Provincial Collective Agreement". A line for identifying the particular project is available. On that line is found the word "Various". A second line for identifying the general contractor is also available. On that line is found the following: "N.A.".

11. In the body of the grievance, Local 2 asserts that on or about October 17, 2008 "and continuing" Limen violated the 2007 to 2010 ICI Provincial Agreement between the Brick and Allied Craft Union and the Ontario Masonry Contractors Association/BACU Bargaining Committee and/or the 2007 to 2010 Provincial Agreement between the OPC and MIECO and/or the collective agreement between Local 2 and Limen. The letter indicates that the violation includes "Articles 1, 2, 3, 5, 7, 8, 9, 11, 12, 16, 17, 18, 19, 20, 27, 28, 29, 30 and Appendix A". Under the heading "Nature of the Grievance", the following is provided:

Failure to get referral slips for workers, hiring of nonmembers, failure to provide foremen/forepersons with adequate communication devices in order to call emergency services and interfering with the union in its administration of its members.

Under the heading "Relief Sought", the grievance identifies that various relief is sought, including an order that Limen pay full damages to Local 2 in respect of all violations of the collective agreement, together with all of the costs of collection, and "such further and other relief as may be appropriate in the circumstances".

12. As noted above, the grievance dated April 20, 2009 was referred to the Board for arbitration on June 23, 2009. In the Schedules "A" and "B" enclosed with the Form A-86, Referral of Grievance to Arbitration (Construction Industry), Local 2 outlines in greater detail the assertions of material fact it makes against Limen. In the Schedule "B", Local 2 asserts that Limen violated the Provincial ICI Agreement between the Brick and Allied Craft Union of Canada and the Ontario Masonry Contractors Association/BACU Bargaining Committee effective May 1, 2007 to April 30, 2010 ("the collective agreement"). It expressly relies upon the grievance and certain other allegations of material fact contained in the Schedule "B". In summary, those allegations are described as follows:

(a) under the heading "Non-union/improperly hired employees", Local 2 notes that the collective agreement requires Limen to employ only members of Local 2 and/or only those subcontractors bound by the collective agreement when it performs bargaining unit work within the geographic territory of Local 2, and that all members must produce a referral slip signed by the business representative before being hired or starting work. Local 2 asserts that from February, 2009 to May, 2009, Limen made remittances for non-members of Local 2 and for members of other BACU locals who had not been given referral slips and who performed bargaining unit work during January, 2009 to April, 2009. The facts pleaded under this heading reflect the assertion that Limen hired

individuals without reference to whether they were members of Local 2. The violations are said to have taken place at various locations within the jurisdiction of Local 2 and are said to be continuing.

(b) under the heading “Imposition of non-collective agreement requirements to interfere with hiring hall”, Local 2 asserts that during March, 2009 and May, 2009, Limen purported to impose certification requirements on restoration masons and two-week work trial periods, respectively, contrary to the terms of the collective agreement. It is also asserted that Limen asked employees to stay home without providing them with Records of Employment and without referring them back to the hiring hall, using a layoff to avoid the hiring hall requirements. With respect to the latter assertion, two specific individuals are identified.

(c) under the heading “Interference with Union representation/Failure to comply with OHSA communication requirements”, Local 2 states that Article 11 of the collective agreement prohibits Limen from preventing business agents from having access to its projects. It also notes that section 18 of Ontario Regulation 213/91 made under the *Occupational Health and Safety Act* requires a constructor to ensure that every worker at a project has ready access to a telephone, two-way radio or other system of two-way communication in the event of an emergency. Local 2 asserts that Limen did not provide ready access to such two-way communication and did not allow union representatives to telephone its employees directly. As a result, Local 2 asserts that Limen has prevented business agents from having access to its projects by interfering with the direct communication between those agents and its employees and by failing to communicate to Local 2 regarding its projects.

Certain documents are enclosed with the grievance referral filed with the Board to support the allegations of fact made above.

13. The brief of damages delivered to Limen by Local 2 on October 4, 2010 notes in its summary of the background facts that Local 2 has obtained documentation, including time sheets and remittance summaries created by Limen, that demonstrates “numerous and repeated violations of the collective agreement”, which violations “are discussed in greater detail below”. The brief reiterates that its purpose is to identify the damages claimed by Local 2 arising out of the April 20, 2009 grievance. In summary, the alleged violations of the collective agreement are described as follows:

(a) under the heading “Unauthorized and Unreported Overtime”, Local 2 asserts that between January, 2009 and June, 2009, Limen failed to provide its members with overtime wages and assigned work beyond the regular work week without the consent of the union, contrary to Articles 10 and 27 of the collective agreement. Local 2 states that rather than providing overtime to its employees, Limen ought to have hired additional members to perform the work. It asserts in the alternative that overtime pay ought to have been paid to those members of Local 2 who did work. Two summaries of damages claimed by Local 2 are included, the second relating to the alternative assertion made by Local 2.

(b) under the heading “Unreported Hours”, Local 2 asserts that between January, 2009 and June, 2009, employees of Limen who were within its jurisdiction performed 66,023 regular hours of work. It states that Limen only

made remittances for 52,459 hours of work with respect to its members. It asserts that the hours were not reported because Limen used non-union subcontractors and banked hours. Local 2 claims damages for the unreported hours.

(c) under the heading “Unpaid Dues”, Local 2 asserts that the time sheets obtained by it establish that Limen frequently failed to properly report dues owed to it. Local 2 claims damages for the unpaid dues.

(d) under the heading “Non-Union Employees and/or Non-Union Subcontractors”, Local 2 asserts that Limen has repeatedly used non-union employees and/or contractors in order to hide wages paid to members so as to circumvent the collective agreement. Local 2 states that the time sheets reviewed by it show that Limen has repeatedly re-directed payments owing to its members to private corporations, and that by doing so Limen has effectively engaged in subcontracting work to non-union employees and/or non-union subcontractors, contrary to the collective agreement. It claims damages for these violations.

(e) under the heading “Employees Paid Below Union Rates”, Local 2 states that the time sheets it has obtained show that two identified workers did not receive wages in accordance with Article 29 of the collective agreement. It asserts a claim for damages on their behalf.

(f) under the heading “Wages Were Inappropriately Withheld and/or Delayed”, Local 2 states that between January, 2009 and June, 2009, Limen repeatedly held payments or “banked” hours owed to its workers in an attempt to hide from it the hours worked by its members and in order to circumvent various collective agreement entitlements, including overtime. It states that the collective agreement does not authorize the holding or banking of wages, and that Article 24 of the collective agreement requires wages to be paid not later than the Thursday of each week. It calculates and claims damages due to this alleged violation of the collective agreement.

(g) under the heading “Improper Payment of Travel Expenses”, Local 2 asserts that between January, 2009 and June, 2009, Limen underpaid its workers for travel or failed to pay the travel allowance in its entirety, contrary to Article 18 of the collective agreement. Local 2 states that the time sheets reviewed by it are “consistent with feedback which the Union has obtained from its members”. It claims damages for these alleged violations of the collective agreement.

The total amount of damages claimed by Local 2 for the above-referenced alleged violations of the collective agreement is \$1,275,774.57. I note here that in its response filed with the Board Limen vigorously denies the allegations made by Local 2.

Argument

14. I outline below, in highly abbreviated form, the argument made by counsel.

15. Counsel for Limen reviewed each of the assertions identified in the brief of damages and argued that no matter how liberally one construes the grievance dated April 20, 2009, and the grievance referral filed with the Board on June 23, 2009, the brief of damages filed by Local 2

relates to claims that all fall well beyond the subject of that grievance and its subsequent referral. Counsel noted that there was no claim made in the grievance under any of the heads of damages referred to in the brief filed by Local 2. Counsel asserted that it would be unfair to permit Local 2 to add new allegations of collective agreement violations to that grievance, and stated that case law confirms that conclusion. In his view, the claims are all new and ought to be the subject of a separate, fresh grievance.

16. Counsel for Limen made reference to the following authorities during the course of argument: *The Corporation of the City of Windsor*, (2009), 186 L.A.C. (4th) 225 (Springate); *Greater Sudbury Hydro Plus Inc.*, (2003), 121 L.A.C. (4th) 193 (Dissanayake); and *Tony Sica Masonry Inc.*, [1999] OLRD No. 159.

17. Counsel for Local 2 disagreed with the position taken by Limen. Counsel stated that in March, 2009 and following Local 2 had observed a number of administrative irregularities that it considered to be an indication of widespread violations of the collective agreement by Limen. Local 2 realized that its members who should have been working were not – but did not know why. As a result, counsel stated that the grievance dated April 20, 2009 was framed very broadly, listed all sections of the collective agreement, and contained allegations that could result in considerable damages accruing to the benefit of Local 2 and its members. In particular, counsel for Local 2 asserted that the allegation that Limen interfered with the union in its administration of its members is broad enough to support the claims for damages made in the brief of damages filed with the Board.

18. Counsel for Local 2 observed that the grievance referral filed with the Board was equally broadly stated. He noted that the grievance referral relies upon the facts pleaded in both the grievance and the referral document itself. Counsel stated that the grievance referral contains the particulars known by Local 2 at that time, and reflects the primary concern of Local 2, which was the use by Limen of non-union workers and improperly hired employees. He stated that although Local 2 did not know of the full extent or form of the violations engaged in by Limen in April or June, 2009, it pleaded what it did know under each of the headings contained therein. Returning to the initial grievance referral, counsel for Local 2 reiterated that the claim that Limen was interfering with the union in its administration of its members raises the assertion that Limen is hiding information from Local 2, and not allowing it to police the collective agreement.

19. Counsel reviewed at some length the basis for each of the heads of damage claimed in the brief of damages and submitted that the brief of damages does not reflect a new grievance but in fact properly quantifies the damages based upon documentation that Local 2 ought to have received from Limen shortly after the July 13, 2009 order of the Board. Counsel asserted that the Board is aware that trade unions in the position of Local 2 are not intimately aware of the inner workings of employers bound to its collective agreements, and that the Board orders production of documents in grievance referrals in order for the union to determine exactly what the scope of the violation is, and what damages flow.

20. In summary, counsel for Local 2 asserted that in the normal course his client is expected to prepare for the hearing of the grievance a brief of damages outlining the damages Local 2 asserts flow from the grievance filed with the Board. Counsel stated that the brief of damages does just that, and no more. He asked that the Board confirm that assertion and schedule the matter for further hearing.

21. Counsel for Local 2 made reference to the following authorities during the course of argument: *Blouin Drywall Contractors Ltd. v. United Brotherhood of Carpenters and Joiners of*

America, Local 2486, (1975), 8 O.R. (2d) 103 (Ont. C.A.); *Master Insulation Company Limited*, [1981] OLRB Rep. January 94; *Arlington Crane Service Limited*, [1987] OLRB Rep. January 7; and *Tenaquip Ltd.*, (2002), 112 L.A.C. (4th) 60 (Newman).

22. Counsel for the Trusts made three separate points. First, counsel asserted that the real question before the Board for resolution is whether the grievance filed by Local 2 is sufficiently particularized. He asserted that it is. Counsel noted that the grievance cites almost every single article of the collective agreement, claims damages in a very broad manner, and also seeks such further relief as may be appropriate. He noted that the brief of damages identifies the various Articles of the collective agreement violated, and that those Articles are included within the list of Articles identified by Local 2.

23. Counsel also noted that grievances referred to the Board in the construction industry are different than grievances that are lodged under a collective agreement in the context of an industrial workplace. He asserted that grievances in the construction industry are typically very broadly worded, and the issues in dispute tend to narrow as the parties get closer to a hearing. He stated that by the time of the hearing, after meetings with a Labour Relations Officer and after production of documents has occurred, the issues are all defined. That, counsel asserted, is exactly what Local 2 did here.

24. Finally, counsel for the Trusts noted that counsel for Limen did not assert at any time that his client had been prejudiced in the circumstances. He asserted that Limen would have a far better case had the hearing already started on the merits. Here, however, where the brief of damages was produced before the commencement of the hearing, there can really be no prejudice to the interests of Limen.

25. Counsel for MIECO made no submissions on this preliminary motion.

Decision

26. There is no real disagreement amongst the parties regarding the state of the law on the issue in dispute. As is often the case, the parties disagree as to how the applicable legal principles ought to be applied to the facts.

27. There are two competing principles at play. On the one hand, a board of arbitration ought to interpret a grievance liberally in order to ensure that the grievance is dealt with on the merits. The most significant authority to identify this principle in Ontario is the decision of the Court of Appeal in *Blouin Drywall Contractors Ltd. v. United Brotherhood of Carpenters and Joiners of America, Local 2486*, cited above ("*Blouin Drywall*"), wherein Brooke J.A. made the following comments at paragraphs 10 and 11 of his reasons:

10. ... No doubt it is the practice that grievances be submitted in writing and that the dispute be clearly stated, but these cases should not be won or lost on the technicality of form, rather on the merits and as provided in the contract and so the dispute may be finally and fairly resolved with simplicity and dispatch.

11. ... Certainly, the board is bound by the grievance before it, but the grievance should be liberally construed, so that the real complaint is dealt with and the appropriate remedy provided to give effect to the agreement provisions and this whether by way of declaration of rights or duties, in order to provide benefits or performance of obligations or a monetary award required to restore one to the proper position he would have been in had the agreement been performed.

28. On the other hand, arbitrators have been careful to ensure that the flexible approach to the interpretation of grievances urged by the Court of Appeal in the passage outlined above is not extended so far as to permit a party to raise at a hearing what is in effect a new grievance. In fact, this principle was noted by Mr. Justice Brooke in *Blouin Drywall*, above, when he observes that a board of arbitration “is bound by the grievance before it”. A concise summary of the competing principles identified by the Court of Appeal in *Blouin Drywall* was offered by Arbitrator Dissanayake in *Greater Sudbury Hydro Plus Inc.*, cited above, at paragraph 14 of his decision:

I find two countervailing principles in the foregoing statement by the Court of Appeal. The first is that, where on a liberal reading of the grievance in issue, although not articulated well, is inherent within it, an arbitrator ought to take jurisdiction over that issue, despite any flaws in form or articulation. However, there is also a countervailing principle to the effect that an arbitrator ought not, in the guise of “liberal reading”, permit a party to raise at arbitration an issue which was not in any manner, even inherently, joined in the grievance filed. To do that would be to defeat the very purpose of the grievance and arbitration procedure.

29. The issue in this proceeding becomes whether the substance of the claims for damages made in the brief filed by Local 2 are found expressly within or inherently within the scope of the grievance it filed on April 20, 2009, or within the referral of that grievance filed with the Board on June 23, 2009. If the answer to that question is “yes”, the grievance referral ought to proceed with reference to all of the assertions contained in the brief of damages and the accompanying documentation filed by Local 2. If the answer to that question is “no”, then the grievance will proceed without reference to those assertions and without reference to the accompanying documentation for the purpose of establishing the assertions contained in the brief of damages.

30. The critical documents are the grievance and its referral to the Board. In some respects the grievance is drafted very broadly, reflecting the lack of information known to Local 2 at the time. Of course, however broadly a grievance may be drafted, a grievance must contain some identifiable claim that the relevant collective agreement has been violated. It is not enough to assert that the employer has breached one or more provisions of the collective agreement by doing something, without identifying what that “something” is.

31. In the instant circumstances Local 2 identified that “something” in the April 20, 2009 grievance under the heading “Nature of the Grievance”. It asserted that Limen:

- (a) had failed to get referral slips for workers;
- (b) had hired non-members of Local 2;
- (c) had failed to provide foremen/forepersons with adequate communications devices in order to call emergency services; and
- (d) had interfered with the union in its administration of its members.

32. In June, 2009, Local 2 referred the April 20, 2009 grievance to the Board for arbitration. As required by the Board’s Rules of Procedure, the grievance referral filed with the Board identified the material facts relied upon by Local 2 in support of its grievance. Those facts are identified in the Schedule “B” to the grievance referral and are set out above in paragraph 12. What is important to note about the material facts pleaded by Local 2 in the referral filed with the Board is that those material facts specifically relate to one of the four complaints outlined in the paragraph immediately above. That is, Local 2 provides details of its complaint that Limen failed to secure referral slips for workers and hired non-members of Local 2. It also provides details

regarding the failure on the part of Limen to provide foremen with adequate communications devices. Finally, Local 2 sets out the details it relies upon to support its assertion that Limen had interfered with its administration of the collective agreement and the hiring hall. Those material facts consist of assertions regarding imposed certification requirements and trial periods, and using layoffs to avoid the obligation to access the Local 2 hiring hall.

33. A review of the brief of damages filed by Local 2 reflects that the claims contained therein are markedly different than those reflected by or inherent to the grievance or the grievance referral filed with the Board, even if a liberal interpretation is given to both the grievance and the referral documents. The brief of damages asserts a claim for damages for unauthorized and unreported overtime, unreported hours of work, unpaid dues, payments to employees below the rates contained in the collective agreement, inappropriate withholding of wages, and improper payment of travel expenses. None of those claims for damages relate to the substance of the assertions previously made by Local 2 that Limen violated the collective agreement. Furthermore, none of the claims for damages can be reasonably considered to fall inherently within the scope of the grievance or the referral of the grievance to the Board, as drafted.

34. It would appear that upon review of the documentation received by Local 2 in early 2010, it identified what it considered to be significant violations of the collective agreement on the part of Limen. In my view, Local 2 ought to have filed a new grievance at that time, identifying those fresh, asserted violations of the collective agreement. Although I appreciate that the documents obtained by Local 2 should have been received earlier from Limen pursuant to the Board's decision dated July 13, 2009, even if the documents had been received earlier in accordance with that decision Local 2 would not have been entitled at that time to transform the April 20, 2009 grievance into something different than what it is. In the normal course documentary production is intended to allow a union to refine the claims contained in its initial grievance and to quantify damages. It is not intended to allow a union to add new, fresh claims to an existing grievance.

35. There is one claim identified in the brief of damages that appears, at first glance, to be encompassed within the initial grievance. The grievance dated April 20, 2009 complains that Limen hired non-members of Local 2. In the grievance referral filed with the Board, Local 2 asserts that Limen employed non-union employees and members from other locals who had not been given referral slips. The clear focus of the material facts pleaded by Local 2 is its assertion that Limen hired people off the street to work, or instead successfully encouraged members from other locals to work for it without obtaining a referral slip. The only substantive reference to "subcontractors" contained in the grievance referral filed with the Board is when Local 2 identifies the obligation imposed upon Limen by citing the wording of the relevant provision of the collective agreement.

36. In the brief of damages a claim is made relating to "Non-Union Employees and/or Non-Union Subcontractors". On its face it could have some relation to the complaint identified in the grievance and/or the grievance referral. When reviewed closely, however, the claim made in the brief of damages does not relate to a factual assertion contained in the grievance or the referral. The claim made in the brief of damages is that Limen allowed its employees to be paid through private companies established by those individuals, rather than by paying them as individuals. Local 2 asserts that by doing so Limen violated the collective agreement by subcontracting work to non-union contractors. Whether that characterization is or is not correct, it is evident that the claim asserted in the brief of damages is substantively different than that asserted by, or inherent within, the grievance and the grievance referral.

37. During the course of argument counsel for Local 2 relied considerably upon the assertion made in the grievance and grievance referral that Limen was “interfering with the union in its administration of its members”. Counsel interpreted that phrase very broadly and asserted that many of the claims identified in the brief of damages inherently fell within that concept. In a similar vein, counsel for the Trusts argued that the fact that the grievance listed 18 separate articles of the collective agreement as having been violated by Limen was sufficient to ground claims subsequently raised by Local 2 that may fall within any one of those 18 articles.

38. I disagree with both of those assertions. Here, in the grievance referral filed with the Board, Local 2 clearly identified what it believed fell within the scope of the assertion that Limen was “interfering with the union and its administration of its members”. None of the claims that are included within the brief of damages was identified as falling within the scope of that assertion.

39. If the argument made by counsel for Local 2 were to be accepted, every potential breach of a collective agreement identified after a grievance is referred to arbitration could be properly included within the issues adjudicated at arbitration, even though they are not meaningfully identified in the grievance or the grievance referral, by stating in the grievance that the employer was “interfering with the union in its administration of its members” and by arguing that the potential breach falls within the scope of that wording. The same observation can be made regarding the proposition asserted by counsel for the Trusts. If it were as simple as counsel for the Trusts suggested, every grievance filed by a union would contain a template line in which an assertion is made that each and every article in the collective agreement had been violated. Under this theory, the union could justifiably raise any subsequently identified potential violation of the collective agreement at arbitration and assert that that issue had been previously identified, at least inherently, in the grievance.

40. If the grievance process is to mean anything, these propositions cannot be correct. Arbitrator Dissanayake stated at paragraph 14 of *Greater Sudbury Hydro Plus Inc.*, cited above, that to permit a party to raise an issue that was not in any manner joined in the grievance “would be to defeat the very purpose of the grievance and arbitration procedure”. Counsel for the Trusts quite accurately noted during the course of argument that the Board’s pre-hearing processes permit for the gradual narrowing of issues that arise in construction industry grievances, so that once a grievance gets to arbitration only the real issues in dispute remain. Those pre-hearing processes have not occurred with respect to any of the claims made by Local 2 in the brief of damages. Whether or not those pre-hearing processes will actually result in any narrowing of the issues here, they need to occur before the claims made in the brief of damages are subject to costly and time-consuming litigation.

41. In *Greater Sudbury Hydro Plus Inc.*, cited above, Arbitrator Dissanayake made the following additional comment at paragraph 17 of his award:

... The problem here is not the union’s failure to specify an article number or an exact remedy. *It is about its failure to raise the alleged violation until the arbitration stage.* ... The union submits that by complaining about the denial of bumping rights, it put the employer on notice that the union was objecting in a general way to the way the grievor was treated following the contract out. That, in my view, is not what the courts meant by “liberal reading” of a grievance. *To include an issue through a “liberal reading” I must be able to conclude that the employer reasonably should have understood upon reading the grievance that the issue in question was part of the grievance. I am unable to reach that conclusion in this case. The grievance was very specific about the right violated. It was about*

bumping rights. It was open to the union to clarify or amend the grievance during the grievance procedure to include additional claims. There is no suggestion that this was done. (emphasis added)

These comments have equal application to the instant proceeding. Having regard to the wording of the grievance dated April 20, 2009, and the wording of the subsequent referral of that grievance to the Board, I cannot conclude that Limen could reasonably have understood upon reviewing the grievance or the referral that the claims identified in the brief of damages were part of the grievance. Quite simply, Limen could not have reasonably anticipated that those claims fell within the grievance dated April 20, 2009.

42. In my view, the claims made in the brief of damages filed with the Board have no relation to the claims made in the initial grievance or in the grievance referral filed with the Board. In effect, Local 2 asserts a totally different grievance in its brief of damages. As a result, I uphold the objection raised by Limen.

43. The parties did not identify at the hearing how they desired these proceedings to be dealt with after the issuance of this ruling. In the circumstances, I refer both of these files to the Registrar to set one or more hearing dates after consulting with counsel for the parties.

44. I am not seized of these proceedings.

“Lee Shouldice”
for the Board